

Wealth Strategy Snapshot

Educational Analysis

2026 Tax Year Planning

Prepared for Nimat Shahid | February 2026

Educational scenario modeling for discussion with licensed professionals

Executive Summary

This analysis explores tax optimization strategies and investment concepts for the 2026 tax year, tailored to your financial profile as a high-income W-2 professional planning LLC formation and real estate investment entry. The strategies outlined leverage your strong income foundation (\$200-299K), substantial liquid capital (\$250K+), and stated goals of tax reduction, passive income generation, and wealth building to \$1M+ within 2 years.

Based on the profile analysis—including planned LLC formation, primary residence with ADU acquisition, and moderately aggressive investment approach—this snapshot models potential first-year value ranging from **\$149,029** (conservative scenario) to **\$468,625** (aggressive scenario including real estate acquisition). Implementation of any strategy should be verified with your CPA and licensed financial advisor.

Modeled First-Year Value: \$149,029 – \$468,625

Section 3: Profile Summary

Age / Filing Status 43 / Single	Location Smyrna, GA (5.75% state tax)
Employment Structure W-2 Only (3 remote positions)	Annual Income \$200,000 – \$299,000
Current Monthly Withholding \$1,936/month	Combined Marginal Rate ~37.75% (32% Fed + 5.75% GA)
Liquid Capital Available \$250,000+	Comfortable Deploying \$100,000+
Emergency Fund 6+ months expenses	Credit Score 720-759
Housing Status Renting (primary purchase planned Q1 2026)	Risk Profile Moderately Aggressive (growth-focused)

Current Retirement & Investment Status

Account Type	Current Status	Notes
401(k) / Employer Plan	Not contributing	Interested in starting
Roth IRA	None	Income exceeds direct contribution limits; backdoor eligible
HSA	None	No HDHP currently; interested
Brokerage	HYSA only	Cash stored in high-yield savings

Liabilities & Debt

Debt Type	Balance	Status
Student Loans	\$38,000	Good standing
Credit Card	\$0	No revolving debt reported
Mortgage	N/A	Primary purchase planned Q1 2026

Business & Deduction Assets

Asset	Status	Potential Use
Home Office	Dedicated area (not full room)	Home office deduction once LLC active
Vehicle	No business use currently	Potential RE-related mileage
Computer/Tech	Available	Business equipment
LLC / Business Entity	Planned February 2026	RE investing structure

Stated Goals (from Intake)

- Reduce 2025 tax bill by \$20K+ (if not too late) and all future tax bills by at least \$20K
- Start LLC in February 2026 for real estate investing
- Begin real estate investing Q1 2026 (after primary residence purchase)
- Purchase primary home with ADU for STR tax loophole strategy
- Create enough passive income for financial independence (W-2 optional)
- Build net worth to \$1M+ within 2 years

Time Available for Wealth Building

10-15 hours/week during work week + 16 hours on weekends = substantial time capacity for active strategies including real estate management

Section 4: Timeline Awareness & Implementation Considerations (2026 Planning)

These timeline items are provided for calendar awareness. Verify applicability and timing with your tax professional.

Week 1

- ▶ CPA consultation: Review current tax situation, W-4 optimization, and 2026 strategy priorities
- ▶ Primary home search: Continue focus on properties with ADU potential in target areas
- ▶ 2025 Backdoor Roth: Discuss with CPA—April 15 deadline for 2025 contribution

Week 2

- ▶ LLC formation: GA registration for RE activities—discuss entity structure with attorney
- ▶ HDHP evaluation: Compare health plans for 2026 HSA eligibility
- ▶ Employer 401(k): Review if any W-2 employer offers plan; discuss contribution strategy

Week 3

- ▶ Brokerage account setup: Open accounts for investment scenario implementation
- ▶ Augusta Rule prep: Document home office FMV for post-LLC rental to business
- ▶ RE education: Research STR markets, arbitrage opportunities, cost segregation basics

Week 4

- ▶ Backdoor Roth execution: Open Traditional IRA, fund, convert to Roth (discuss with CPA)
- ▶ Investment allocation: Begin implementing scenario after advisor consultation
- ▶ Primary home offer: Target ADU property; coordinate timing with LLC formation

Note: These considerations are for planning awareness only. Work with your CPA and licensed professionals to determine appropriate timing and implementation for your specific situation. Avoid new credit applications until after primary home closes.

Section 4.5: 2025 Tax Year – Remaining Opportunities (Before April 15, 2026)

The following 2025 contributions can still be made until April 15, 2026:

Strategy	2025 Limit	Deadline	Your Opportunity
Traditional/Roth IRA	\$7,000 (+ \$1,000 if 50+)	April 15, 2026	✓ \$7,000 – Backdoor Roth available (income exceeds direct limits)
HSA Contributions	\$4,300 individual (+ \$1,000 if 55+)	April 15, 2026	X Not available – No HDHP coverage in 2025
Solo 401(k) Employer Portion	25% of net SE income	Tax filing + extensions	X Not available – No self-employment income in 2025
SEP IRA	25% up to \$69,000	Tax filing + extensions	X Not available – No self-employment income in 2025

Actionable for 2025: Consider Backdoor Roth IRA contribution for 2025 tax year (\$7,000) before April 15, 2026. This captures an additional year of tax-advantaged growth. Potential tax benefit at 37.75% rate on future gains.

No Longer Available for 2025: 401(k) employee deferrals (Dec 31 deadline passed), W-4 adjustments (only affect 2026 forward), Augusta Rule rentals (must have occurred in 2025), Solo 401(k) employee contributions (Dec 31 deadline passed).

Verify 2025 contribution eligibility with your CPA. Making prior-year contributions requires careful coordination with your tax return.

Section 5: 2026 Tax Optimization Strategies to Explore

The following strategies are presented for educational purposes based on your profile. Eligibility and implementation should be verified with your CPA. All limits shown are 2026 IRS figures.

Strategy Concept: Backdoor Roth IRA

Potential Value: \$7,500 tax-advantaged growth annually

What It Is: A legal method for high-income earners (above direct Roth contribution limits) to fund a Roth IRA through a Traditional IRA conversion. For 2026, the contribution limit is \$7,500 (no catch-up at age 43). While no immediate tax deduction, all future growth and withdrawals are tax-free.

How It Works:

1. Open and fund a Traditional IRA with \$7,500 (non-deductible at your income level)
2. Convert the Traditional IRA balance to Roth IRA (typically next business day)
3. Report on Form 8606 with your tax return; future growth is tax-free

Eligibility Criteria: Earned income at least equal to contribution. Works best with no existing pre-tax Traditional IRA balances (to avoid pro-rata taxation on conversion). Your situation appears favorable as you have no existing IRAs.

Verify eligibility and implementation details with your CPA before proceeding. 2026 limit: \$7,500. Consider making 2025 contribution (\$7,000) before April 15, 2026 as well.

Strategy Concept: HSA Maximization

Potential Value: \$1,661 tax savings (\$4,400 × 37.75%)

What It Is: A Health Savings Account provides triple tax benefits: deductible contributions, tax-free growth, and tax-free withdrawals for qualified medical expenses. At your marginal rate, the 2026 individual limit of \$4,400 creates potential tax savings of approximately \$1,661. Long-term, HSA funds can be invested and used as a supplemental retirement account.

How It Works:

1. Enroll in a High-Deductible Health Plan (HDHP) during open enrollment or qualifying event
2. Contribute up to \$4,400 (individual) for 2026; can be done via payroll or direct contribution
3. Invest HSA funds for long-term growth; pay current medical expenses out-of-pocket to maximize growth

Eligibility Criteria: Must be enrolled in qualifying HDHP, cannot be enrolled in Medicare, cannot be claimed as dependent. You indicated interest but no current HDHP—evaluate during next open enrollment period.

Verify HDHP eligibility and HSA contribution limits with your benefits administrator and CPA. 2026 individual limit: \$4,400 (no catch-up under age 55).

Strategy Concept: W-4 Optimization

Potential Value: \$2,400 – \$4,800 improved annual cash flow

What It Is: Adjusting W-4 withholding to more closely match actual tax liability, converting excess withholding into monthly cash flow. At \$1,936/month current withholding, analysis may reveal over-withholding that could be redirected to investments or debt reduction. This doesn't reduce taxes but improves cash flow timing.

How It Works:

1. Review prior year tax returns with CPA to determine actual tax liability vs. amounts withheld
2. Calculate appropriate withholding considering all three W-2 positions
3. Submit updated W-4(s) to employer(s); adjust as strategies change throughout year

Eligibility Criteria: All W-2 employees can adjust withholding. Must ensure adequate withholding to avoid underpayment penalties (generally 90% of current year or 100%/110% of prior year liability).

Discuss optimal withholding strategy with your CPA, especially given three W-2 positions. Cash flow improvement modeled at \$200-\$400/month based on typical over-withholding patterns.

Strategy Concept: Augusta Rule (IRC §280A)

Potential Value: \$2,643 – \$3,964 tax savings

What It Is: A provision allowing homeowners to rent their residence to their own business for up to 14 days per year, with rental income excluded from taxable income while the business claims a deduction. At fair market value of \$500-\$700/day for 14 days, this creates \$7,000-\$9,800 in tax-free income while providing a business deduction. At your 37.75% rate: \$2,643-\$3,698 potential tax benefit.

How It Works:

1. Establish legitimate business entity (LLC planned February 2026)
2. Document fair market rental value through comparable analysis (similar venue rentals in Smyrna/Atlanta area)
3. Hold documented business meetings at residence (board meetings, planning sessions, client consultations)
4. Business pays rent to you personally (tax-free); business deducts as ordinary expense

Eligibility Criteria: Must own or rent residence, have legitimate business with actual business purpose for meetings, document fair market value, and maintain contemporaneous records. Requires business entity (LLC formation planned).

Verify implementation requirements with your CPA. Requires legitimate business purpose and proper documentation. IRS scrutiny has increased—ensure robust record-keeping. Available once LLC is established and you own/rent a residence.

Strategy Concept: Home Office Deduction

Potential Value: \$750 – \$1,500 tax savings

What It Is: A deduction for business use of home, available once you have self-employment or business income. You indicated a dedicated workspace area. The simplified method allows \$5 per square foot up to 300 sq ft (\$1,500 max deduction). At your marginal rate, a 150 sq ft space = $\$750 \times 37.75\% = \sim \283 tax savings; 300 sq ft = $\sim \$566$ tax savings.

How It Works:

1. Designate space used regularly and exclusively for business (LLC activities, RE investing)
2. Choose simplified method (\$5/sq ft) or actual expense method (proportional utilities, insurance, etc.)
3. Document with photos, measurements, and usage log

Eligibility Criteria: Space must be used regularly and exclusively for business. W-2 employees cannot claim (eliminated after 2017 tax reform), but business owners/self-employed can. Available once LLC generates business activity.

Not available for W-2 income. Becomes available once LLC is established and actively conducting business. Verify space meets "regular and exclusive" test with your CPA.

Strategy Concept: LLC Formation

Potential Value: Foundation for multiple strategies

What It Is: A Limited Liability Company provides liability protection and flexibility for real estate investing activities. Georgia LLC formation enables Augusta Rule, home office deduction, vehicle deductions, and proper structuring for STR operations. The LLC can be taxed as disregarded entity, partnership, or elect S-Corp status as income grows.

How It Works:

1. File Articles of Organization with Georgia Secretary of State (~\$100 filing fee)
2. Create Operating Agreement documenting ownership and management structure
3. Obtain EIN from IRS (free, online application)
4. Open business bank account; maintain separation of personal and business funds

Eligibility Criteria: Any individual can form an LLC. Consider single-member LLC initially for simplicity (disregarded entity for tax purposes). As RE portfolio grows, evaluate multi-member or series LLC structures.

Discuss optimal entity structure with your attorney and CPA. Georgia has annual registration requirement (\$50). Consider asset protection and future scaling needs.

Strategy Concept: Short-Term Rental + Cost Segregation

Potential Value: \$40,000 – \$64,000 first-year tax benefit (aggressive scenario)

What It Is: Short-term rentals with average guest stay of 7 days or less are not considered "rental activity" under passive loss rules when owner materially participates. Combined with cost segregation (accelerated depreciation), this can create substantial paper losses that offset W-2 income. Your ADU strategy aligns perfectly with this approach.

How It Works:

1. Acquire property with ADU or add ADU to primary residence
2. Operate ADU as STR with average guest stay ≤ 7 days
3. Materially participate (100+ hours AND more than anyone else, which your 16+ weekend hours supports)
4. Commission cost segregation study to accelerate depreciation (35-50% of property value in Year 1)
5. Paper losses offset W-2 income; actual cash flow positive from STR operations

Eligibility Criteria: Average guest stay ≤ 7 days, material participation (you meet hours requirement), and property acquired/placed in service. Cost seg studies typically cost \$3,000-\$7,000 but ROI is substantial on properties \$300K+.

This is a complex strategy requiring coordination between CPA, cost segregation specialist, and real estate professional. Material participation documentation is critical. Verify all requirements before implementation. 2026 bonus depreciation at 40% (phasing down from prior years).

Strategy Concept: Employer 401(k) Maximization

Potential Value: \$9,248 tax savings ($\$24,500 \times 37.75\%$)

What It Is: If any of your three W-2 employers offers a 401(k) plan, maximizing contributions provides immediate tax deduction. The 2026 employee deferral limit is \$24,500 (no catch-up at age 43). At your 37.75% combined rate, full contribution creates ~\$9,248 in tax savings while building retirement assets.

How It Works:

1. Review benefits with each employer to identify available 401(k) plans
2. Enroll and set contribution percentage to maximize by year-end
3. If multiple employers offer plans, can split contributions (total cannot exceed \$24,500)
4. Consider employer match—this is additional free money beyond contribution limits

Eligibility Criteria: Must be offered by employer; eligibility requirements vary by plan. You indicated not currently contributing but interested in starting.

Review all three employer benefit packages. Even without match, the tax savings at your rate make 401(k) contributions valuable. 2026 limit: \$24,500 employee deferral. Coordinate with HSA and other strategies for optimal tax efficiency.

Section 6: Primary Strategy Deep Dive – STR House Hack with ADU

Based on your stated goals and profile, the STR + ADU strategy represents the highest-impact opportunity for achieving your objectives of tax reduction, passive income, and wealth building to \$1M+.

Strategy Overview: Primary Residence with ADU for STR

This approach combines owner-occupancy benefits with short-term rental income and significant tax advantages:

Component	Benefit	Your Application
Primary Residence Financing	Lower down payment (5-20%), better rates	Preserve capital for investments; 720+ score qualifies for competitive rates
ADU Rental Income	Cash flow to offset mortgage	STR income in Atlanta metro can generate \$2,000-\$4,000/month
STR Tax Classification	Non-passive when materially participating	Your 16+ weekend hours meets participation requirement
Cost Segregation	Accelerated depreciation creates paper losses	\$40,000-\$64,000 potential first-year benefit
Living Expense Reduction	STR income reduces effective housing cost	Potentially live for free or minimal cost

Your Question: Minimum Down Payment vs. Avoiding PMI?

Educational Analysis: Down Payment Decision Framework

Minimum Down Payment (5-10%):

- Preserves more capital for ADU improvements, furnishing, and investment deployment
- PMI cost typically 0.5-1% of loan annually (~\$150-\$300/month on \$350K loan)
- PMI can be removed once 20% equity reached (through payments or appreciation)
- Opportunity cost: \$50K preserved could generate \$12,500-\$25,000 annually in investments

20% Down Payment (No PMI):

- Eliminates PMI expense immediately
- Lower monthly payment improves cash flow
- Less capital available for investments and STR setup
- More equity at risk in single asset

Consideration: Given your strong liquid capital position (\$250K+) and investment goals, many investors in similar situations choose minimum down payment to preserve capital velocity.

However, this decision depends on your specific cash flow needs and risk tolerance. Discuss with your mortgage advisor and financial planner.

Your Question: ADU-Focused Search vs. Alternative Strategy?

Your instinct to focus on ADU properties aligns with your goals. Alternative approaches to consider:

Approach	Pros	Cons	Timeline
Buy with existing ADU	Immediate income potential; turnkey	Limited inventory; may pay premium	Q1-Q2 2026
Buy and add ADU	More inventory options; customize design	Construction delays; additional capital needed	Q3-Q4 2026 for ADU income
Arbitrage while searching	Start income immediately; learn STR operations	No equity building; lease restrictions	Immediate start possible
House hack without ADU	Rent rooms; broader property selection	Less privacy; different tenant profile	Q1-Q2 2026

Your Question: How Many Properties in Year 1?

Consider a phased approach that matches your learning curve and capital:

Phase	Activity	Capital Required	Purpose
Phase 1 (Q1)	Purchase primary with ADU potential	\$70K-\$80K down payment	Establish base; begin STR learning
Phase 2 (Q2-Q3)	Launch ADU STR or 1 arbitrage property	\$5K-\$15K setup/furnishing	Validate STR operations and market
Phase 3 (Q4)	Evaluate: Scale arbitrage OR save for Property #2	Variable	Based on Phase 2 results

Real estate investment decisions should be made in consultation with your real estate agent, attorney, CPA, and financial advisor who understand your complete situation and local market conditions.

Section 7: Illustrative Portfolio Scenario

Based on your moderately aggressive risk profile (Q41), growth-focused goals with passive income component (Q46), substantial time availability (10-15+ hours/week), and capital position (\$100K+ comfortable deploying, \$250K+ available), the following scenario illustrates one approach to portfolio construction.

Asset Class	Scenario %	Conservative (\$100K)	Aggressive (\$175K)	Educational Rationale
Bitcoin	55%	\$55,000	\$96,250	Core wealth accumulation vehicle due to fixed 21M supply and adoption trajectory. Moderately aggressive profile supports majority allocation.
STRC	30%	\$30,000	\$52,500	Commonly used by investors seeking passive income with Bitcoin correlation, providing approximately 10-12% annual yield. Aligns with passive income goals.
VTI/VOO	15%	\$15,000	\$26,250	VTI offers broad U.S. market exposure at low cost (0.03% expense ratio). VOO tracks S&P 500. Provides lower-volatility complement to crypto allocation.
TOTAL	100%	\$100,000	\$175,000	

Capital Deployment Notes

- **Conservative scenario (\$100K):** Based on Q45 "comfortable deploying" amount, preserving additional capital for real estate down payment and reserves
- **Aggressive scenario (\$175K):** Utilizes larger portion of liquid capital (Q26: \$250K+), assumes real estate acquisition uses separate allocation
- **Timing consideration:** Dollar-cost averaging over 3-6 months may reduce timing risk versus lump-sum deployment

Product Education

Product	Description	Key Characteristics
Bitcoin (BTC)	Decentralized digital asset with fixed supply of 21 million	High volatility, institutional adoption increasing, self-custody options available
STRC	Bitcoin-correlated income vehicle	~10-12% yield historically (verify current), correlation to BTC price movements
VTI	Vanguard Total Stock Market ETF	~4,000 stocks, 0.03% expense ratio, broad U.S. equity exposure
VOO	Vanguard S&P 500 ETF	500 large-cap stocks, 0.03% expense ratio, tracks S&P 500 index

This scenario models one approach based on the moderately aggressive, growth-focused profile with passive income goals indicated. Specific investment decisions should be made in consultation with a licensed financial advisor who understands your complete situation. All investments carry risk including potential loss of principal. Bitcoin and cryptocurrency are highly volatile. Verify current STRC yield at time of investment—historical yields are not guaranteed.

Section 8: Modeled First-Year Value Summary (2026 Tax Year)

This comprehensive summary includes all modeled value from the proposed strategies across six categories. Conservative scenario assumes \$100K investment deployment and no real estate acquisition. Aggressive scenario assumes \$175K investment deployment plus primary residence with ADU acquisition.

Category	Item	Conservative	Aggressive	Calculation Notes
CATEGORY A: TAX OPTIMIZATION STRATEGIES				
Tax	Backdoor Roth IRA (tax-advantaged positioning)	\$0*	\$0*	*No immediate deduction; value is tax-free growth
Tax	HSA Maximization (\$4,400 × 37.75%)	\$1,661	\$1,661	2026 individual limit; requires HDHP enrollment
Tax	Augusta Rule (\$7K-\$10.5K × 37.75%)	\$2,643	\$3,964	14 days × \$500-750/day; requires LLC + owned/rented home
Tax	Home Office Deduction	\$750	\$1,500	\$5/sq ft simplified method; requires LLC business activity
Tax	STR + Cost Segregation	\$0	\$56,000	40% × \$375K property × 37.75% rate (aggressive only)
	Tax Optimization Subtotal	\$5,054	\$63,125	
CATEGORY B: INVESTMENT INCOME (Yield/Dividends)				
Income	STRC Yield (10% cons / 12% agg)	\$3,000	\$6,300	\$30K × 10% / \$52.5K × 12%
Income	VTI/VOO Dividends (1.5% cons / 2% agg)	\$225	\$525	\$15K × 1.5% / \$26.25K × 2%
	Investment Income Subtotal	\$3,225	\$6,825	
CATEGORY C: INVESTMENT APPRECIATION (Projected Growth)				
Growth	Bitcoin Appreciation (25% cons / 50% agg)	\$13,750	\$48,125	\$55K × 25% / \$96.25K × 50%
Growth	STRC Appreciation (15% cons / 30% agg)	\$4,500	\$15,750	\$30K × 15% / \$52.5K × 30%
Growth	VTI/VOO Appreciation (8% cons / 12% agg)	\$1,200	\$3,150	\$15K × 8% / \$26.25K × 12%
	Appreciation Subtotal	\$19,450	\$67,025	
CATEGORY D: REAL ESTATE (Aggressive only – Q42=Yes, Q43 has selections)				

Category	Item	Conservative	Aggressive	Calculation Notes
RE	STR Annual Cash Flow (NOI)	\$0	\$30,000	ADU STR; market-dependent
RE	Property Appreciation (5% of \$375K)	\$0	\$18,750	Atlanta metro appreciation estimate
RE	Mortgage Principal Paydown (Year 1)	\$0	\$4,500	Equity build through amortization
	Real Estate Subtotal	\$0	\$53,250	Conservative = no RE acquisition
CATEGORY E: CASH FLOW IMPROVEMENTS				
Cash Flow	W-4 Optimization (\$200-400/mo × 12)	\$2,400	\$4,800	Reduced over-withholding; immediate cash flow
Cash Flow	Debt Interest Savings	\$0	\$1,200	If accelerating student loan payoff
	Cash Flow Subtotal	\$2,400	\$6,000	
CATEGORY F: WEALTH BUILDING (Dollars Positioned)				
Wealth	Backdoor Roth IRA (2026)	\$7,500	\$7,500	2026 limit; tax-free growth vehicle
Wealth	HSA Contributions (2026)	\$4,400	\$4,400	2026 individual limit
Wealth	Augusta Rule Income Received	\$7,000	\$10,500	Tax-free rental income (14-day rule)
Wealth	Investment Capital Deployed	\$100,000	\$175,000	Positioned for growth
Wealth	RE Equity Position (20% down on \$375K)	\$0	\$75,000	Down payment = immediate equity
	Wealth Building Subtotal	\$118,900	\$272,400	
TOTAL FIRST-YEAR VALUE (2026)		\$149,029	\$468,625	

Totals Verification

Subtotal Category	Conservative	Aggressive
A. Tax Optimization	\$5,054	\$63,125
B. Investment Income	\$3,225	\$6,825
C. Investment Appreciation	\$19,450	\$67,025
D. Real Estate	\$0	\$53,250
E. Cash Flow Improvements	\$2,400	\$6,000
F. Wealth Building	\$118,900	\$272,400
GRAND TOTAL	\$149,029	\$468,625

Important: Projected values are illustrative estimates for the 2026 tax year based on assumptions stated. Investment appreciation is based on historical performance and is not guaranteed—past performance does not guarantee future results. All investments carry risk including potential loss of principal. Bitcoin and cryptocurrency are highly volatile. Real estate projections depend on market conditions, occupancy, and expenses. Tax savings shown use 2026 IRS limits; verify with your CPA. Consult with your licensed professionals before implementation.

Section 9: Calendar Awareness & Key Dates (2026)

Critical 2026 Deadlines

Date	Deadline	Relevance to Your Plan
April 15, 2026	Last day for 2025 IRA/HSA contributions	Complete 2025 Backdoor Roth (\$7,000) before this date
April 15, 2026	2025 tax filing deadline (without extension)	Coordinate 2025 contributions with tax return
October 15, 2026	Extended 2025 tax filing deadline	Final deadline for 2025 SEP/Solo 401(k) employer contributions
December 31, 2026	Solo 401(k) plan establishment deadline	If LLC generates income, plan must exist by year-end for 2026 employee contributions
December 31, 2026	401(k) employee contribution deadline	Employer plan contributions must be made by year-end
December 31, 2026	HSA contribution deadline (calendar year)	Can also contribute for 2026 until April 15, 2027
April 15, 2027	Last day for 2026 IRA/HSA contributions	Complete 2026 Backdoor Roth before this date

Quarterly Review Points

Quarter	Review Focus	Key Considerations
Q1 2026	Foundation Building	LLC formation, primary home search, 2025 Backdoor Roth, HDHP evaluation
Q2 2026	Implementation Phase	Primary acquisition, investment deployment, W-4 optimization
Q3 2026	Operations Launch	ADU STR launch, Augusta Rule rentals, mid-year tax review
Q4 2026	Year-End Optimization	Maximize contributions, cost seg study, 2027 planning

Verify all deadlines with your tax professional. Deadlines may change based on IRS announcements or individual circumstances.

Section 10: Questions for Your Professional Team

Questions to Discuss with Your CPA

- ? Based on my three W-2 positions and income level, am I currently over-withholding? What W-4 adjustments would optimize my cash flow while avoiding underpayment penalties?
- ? Can I still make a 2025 Backdoor Roth IRA contribution before April 15, 2026? What coordination is needed with my 2025 tax return?
- ? If I switch to an HDHP, can I make a full 2026 HSA contribution even if I start mid-year? What are the partial-year rules?
- ? For the Augusta Rule strategy, what documentation do you require to support the fair market rental value for business meetings at my residence?
- ? When I acquire an STR property, what material participation documentation do you need to treat the activity as non-passive?
- ? For cost segregation, which firms do you recommend? What's the typical cost and ROI for a \$350-400K property?
- ? Should my LLC be a single-member (disregarded entity) or consider S-Corp election as income grows?

Questions to Discuss with Your Attorney

- ? What LLC structure provides optimal liability protection for my real estate investing activities in Georgia?
- ? Should I consider a series LLC structure for holding multiple properties, or separate LLCs for each property?
- ? What asset protection strategies should I implement given my high income and future real estate portfolio?
- ? How should the LLC operating agreement be structured if I later want to add partners or investors?

Questions to Discuss with Your Financial Advisor

- ? Given my goal to reach \$1M net worth within 2 years, does this investment scenario align with my risk tolerance and timeline?
- ? What's the appropriate asset allocation between liquid investments (Bitcoin, STRC, ETFs) and illiquid (real estate)?
- ? Should I dollar-cost average into the investment positions or deploy lump-sum given current market conditions?
- ? How should I balance retirement account contributions against taxable investment deployment?

Questions to Discuss with Your Real Estate Agent

- ? What's the current inventory of properties with existing ADUs in my target areas of Smyrna/Atlanta metro?
- ? For properties without ADUs, what are the local zoning requirements and typical costs to add an ADU?
- ? What are realistic STR revenue projections for ADUs in this market based on comparable properties?

Section 11: Professional Team Considerations

Implementation of these strategies typically involves coordination with multiple licensed professionals:

Professional	Role in Your Plan	Key Qualifications to Seek
CPA / Tax Professional	Tax strategy verification, return preparation, compliance guidance	Experience with real estate investors, STR taxation, cost segregation coordination
Real Estate Attorney	LLC formation, operating agreements, contract review, asset protection	Georgia bar admission, real estate investment experience
Financial Advisor (RIA)	Investment implementation, portfolio monitoring, comprehensive planning	Fiduciary duty, fee-only preferred, crypto/alternative experience
Mortgage Broker/Lender	Primary residence financing, future investment property loans	Experience with house hackers, ADU financing, multiple income verification
Real Estate Agent	Property sourcing, market analysis, negotiation	Investment property experience, STR market knowledge, ADU expertise
Cost Segregation Specialist	Engineering-based study for accelerated depreciation	Certified cost segregation professional, audit defense record
Insurance Agent	Liability coverage, STR-specific policies, umbrella coverage	STR/vacation rental experience, Georgia market knowledge

This list is for educational reference. The specific professionals you need depend on which strategies you implement. Always verify credentials, references, and fiduciary status before engaging any professional.

Section 12: Milestone Considerations (2026)

The following milestones are provided as reference points for tracking progress. Actual timing will depend on your specific circumstances and professional guidance.

Milestone	Target Timeframe	Success Indicator	Dependencies
LLC Established	February 2026	GA registration complete, EIN obtained, bank account open	Attorney consultation
2025 Backdoor Roth Complete	Before April 15, 2026	\$7,000 contributed and converted to Roth	CPA coordination, brokerage account
Primary Home Under Contract	Q1-Q2 2026	Accepted offer on property with ADU potential	Mortgage pre-approval, property search
Primary Home Closed	Q2 2026	Keys in hand, move-in complete	Financing, inspection, appraisal
Investment Accounts Funded	Q2 2026	\$100K-\$175K deployed per scenario	Financial advisor consultation
HDHP + HSA Established	Open Enrollment or QLE	HDHP active, HSA funded	Health plan comparison, enrollment timing
ADU STR Operational	Q3 2026	Listed on platforms, first bookings received	Property closing, furnishing, permits
Cost Segregation Study Complete	Q4 2026	Engineering report delivered, depreciation schedule updated	Property placed in service, specialist engaged
First Augusta Rule Rental	Q3-Q4 2026	Business meeting conducted, rent paid to personal account	LLC active, FMV documentation, CPA approval
2026 Retirement Contributions Maximized	December 2026	401(k), Roth IRA, HSA at limits	Employer plan availability, cash flow management

These milestones are for planning reference only. Adjust based on your specific situation and professional guidance. Some milestones may shift based on market conditions, personal circumstances, or strategy modifications.

Section 13: Educational Resources

2026 IRS Contribution Limits Reference

Account Type	Base Limit	Catch-Up (50+)	Super Catch-Up (60-63)	Your Limit (Age 43)
401(k) Employee Deferral	\$24,500	+\$8,000	+\$11,250	\$24,500
401(k) Total (Employee + Employer)	\$72,000	+\$8,000	+\$11,250	\$72,000
Traditional/Roth IRA	\$7,500	+\$1,100	N/A	\$7,500
HSA (Individual Coverage)	\$4,400	+\$1,000 (55+)	N/A	\$4,400
HSA (Family Coverage)	\$8,750	+\$1,000 (55+)	N/A	\$8,750

2026 Standard Deduction & Tax Brackets

Filing Status	Standard Deduction	24% Bracket Starts	32% Bracket Starts
Single	\$15,000 (est.)	~\$100,525	~\$197,300
Married Filing Jointly	\$30,000 (est.)	~\$201,050	~\$394,600

Business Mileage Rate (2026)

72.5 cents per mile for business use of personal vehicle. Track all business-related mileage for RE activities once LLC is operational.

IRS Resources (Verify Current Information)

- **Publication 590-A:** Contributions to IRAs
- **Publication 590-B:** Distributions from IRAs
- **Publication 969:** Health Savings Accounts
- **Publication 560:** Retirement Plans for Small Business
- **Publication 527:** Residential Rental Property
- **Publication 946:** How to Depreciate Property
- **IRS.gov:** Official source for current limits and guidance

For educational reference only. Tax laws change regularly. Information presented reflects understanding as of January 2026 using 2026 IRS limits. Verify current rules with your tax professional and IRS.gov.

Important Disclaimers

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Tax Law Changes: Tax laws change regularly. Information presented reflects understanding as of January 2026 using 2026 IRS limits. Verify current rules with your tax professional.

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